Economy Topic 4 — Inflation, Prices, Savings, Investment and Financial Markets

> **Core References:** NCERT Class 12 Macroeconomics (Inflation, Financial Markets), MoSPI National Accounts & Price Statistics, Office of Economic Adviser (DPIIT), SEBI Annual Reports, and UPPCS/UKPCS/UPSC Prelims archives. **Significance:** ★★★ High — CPI vs WPI agency split and basket differences, Headline = Combined CPI, impact on debtors vs creditors, money market vs capital market instruments, and SEBI regulations. **Last verified:** Academic Year 2026

Note: Central bank monetary policy instruments (Repo, CRR, SLR, MPC) are detailed in **Topic 3**. External exchange rate dynamics, currency depreciation, and Balance of Payments deepen in **Topic 9**. Financial regulatory bodies across sectors are consolidated in **Topic 11**. This chapter owns price indices, inflation taxonomy, savings-investment mechanics, and financial market instruments.

Current Affairs & Contemporary Highlights

Reference Year	Key Institutional & Market Highlight	Conceptual Importance & Exam Relevance
2024 (UPPCS)	In India, **retail inflation** is officially tracked and targeted using the **Consumer Price Index (Combined)**, compiled by the National Statistical Office (NSO) under MoSPI (not WPI, IIP, or GDP deflator).	Fundamental distinguishing question across national macroeconomic indices.
2024 (UKPCS)	Inflation measured across the entire consumer basket including food and energy components is designated as **Headline Inflation**; stripping out volatile food and fuel prices yields **Core Inflation**.	Core conceptual taxonomy distinguishing headline from core inflation.
2021 (UPPCS)	The **Wholesale Price Index (WPI)** is released by the **Office of the Economic Adviser (OEA)**, Department for Promotion of Industry and Internal Trade (DPIIT), **Ministry of Commerce and Industry** (not RBI or Finance Ministry).	Institutional provenance of primary wholesale economic statistics.
Monetary Target	Under the statutory Monetary Policy Framework Agreement, the RBI targets **CPI (Combined)** inflation at **4% with a tolerance band of ±2%** (2% to 6%).	Policy anchor connecting retail price indices to RBI monetary policy.

4.1 Inflation: Concepts, Taxonomy, Causes & Socio-Economic Impacts

- **Core Economic Concepts**:

- **Inflation**: A sustained, generalized increase in the overall price level of goods and services across an economy over time, which systematically reduces the real purchasing power of the national currency unit.
- **Deflation**: A persistent, generalized decrease in the general price level (negative inflation rate, $\pi < 0$), typically driven by collapsing aggregate demand and often accompanied by severe recessionary contraction.
- **Disinflation**: A slowdown in the **rate of inflation**; prices continue to rise, but at a visibly decelerating pace (e.g., inflation falling from 8% to 5%).
- **Stagflation**: A toxic macroeconomic condition combining economic stagnation (slow or negative GDP growth and high unemployment) with high, persistent price inflation. Conventional demand management policies face a policy dilemma (hiking interest rates worsens recession; cutting interest rates fuels inflation).
- **Reflation**: Deliberate fiscal and monetary stimulus enacted by policymakers to raise price levels and revive aggregate demand following an economic slump or deflationary spiral.
- **Shrinkflation**: The practice of reducing the physical size or quantity of a packaged product while maintaining its retail sticker price unchanged.
- **Skewflation**: Episodic, persistent price inflation concentrated in one or a small group of commodity sectors (e.g., food grains or vegetables) while price levels in the rest of the economy remain stable.
- **Taxonomy of Inflation by Rate of Speed**:
- **Creeping Inflation (Mild Inflation)**: Prices rise gradually at a very low rate (typically $\leq 3\%$ annually). Generally considered beneficial and essential for grease in relative price adjustments, encouraging business investment and employment.
- **Walking or Trotting Inflation**: Moderate price rise between 3% and 10% per year. Serves as a clear warning signal requiring monetary tightening before expectations become unanchored.
- **Running or Galloping Inflation**: Rapid price acceleration between 10% and 20% (or up to 100%) annually. Distorts long-term contracts, penalizes savings, and impairs capital allocation.
- **Hyperinflation**: An uncontrollable monetary catastrophe where price levels escalate astronomically (exceeding 50% per month or millions of percent annually). Currency ceases to function as a store of value or medium of exchange; citizens resort to barter or foreign currencies (e.g., Germany 1923, Zimbabwe 2008, Venezuela 2018).
- **Primary Causes of Inflation**:
- **Demand-Pull Inflation**:
    - Triggered when aggregate demand (AD) outstrips the productive aggregate supply capacity (AS) of an economy near full employment ("too much money chasing too few goods").
    - Catalysts: Excessive deficit financing / money printing, surging government expenditure, low interest rates, population spikes, or export booms.
- **Cost-Push Inflation (Supply-Shock Inflation)**:
    - Driven by aggregate supply contractions or abrupt escalations in the unit cost of production.
    - Catalysts: Geopolitical shocks to global crude oil supplies, agricultural harvest failures due to droughts/monsoon deficits, depreciating domestic currency raising import bills, or wage-push spirals.
- **Structural / Bottleneck Inflation**:

    - Identified by structuralist economists in developing economies like India.
    - Caused by structural rigidities: inadequate transportation infrastructure, deficient cold-storage chains, monopolistic marketing intermediaries (APMC mandis), and structural supply bottlenecks that prevent agricultural supply from responding swiftly to rising demand.
- **Imported Inflation**:
    - Domestic price inflation originating directly from international price rises of essential imported inputs (e.g., crude petroleum, edible oils, and fertilizers) or a sharp depreciation of the domestic currency (making imports costlier in domestic rupees).
- **Socio-Economic Impacts of Inflation (Winners vs Losers)**:
- **Debtors (Borrowers) GAIN**: Debt contracts are denominated in nominal terms. Debtors repay their loans in currency units that have lower real purchasing power than the money they originally borrowed.
- **Creditors (Lenders) & Bondholders LOSE**: Creditors receive fixed nominal interest payments whose real purchasing power is eroded by price inflation.
- **Fixed-Income Earners, Pensioners & Salaried Workers LOSE**: Real wages decline unless compensated through 100% inflation-indexed dearness allowances (DA).
- **Equity Investors & Business Entrepreneurs GAIN (in moderate inflation)**: Profit margins expand as selling prices generally increase faster than fixed production overheads.
- **Export Competitiveness WEAKENS**: Higher domestic inflation raises production costs of export goods relative to foreign competitors, widening the trade deficit unless the currency depreciates.
- **Fisher Equation & Real Interest Rate**:

$$r \approx i - \pi$$

(where r is the real interest rate, i is the nominal interest rate, and π is the inflation rate). When inflation exceeds the nominal deposit rate ($\pi > i$), the real return on bank savings turns negative.

4.2 Measurement of Price Inflation: CPI, WPI, GDP Deflator & IIP

- **Consumer Price Index (CPI) — Retail Inflation**:
- Measures changes over time in the general level of retail prices of a fixed basket of goods and services consumed by households.
- **Crucial Distinction**: **CPI includes both physical goods AND consumer services** (housing, healthcare, transport, education, personal care).
- **Key National CPI Series**:
    1. **CPI (Combined - Urban + Rural)**: - Compiled and released monthly by the **National Statistical Office (NSO)**, Ministry of Statistics and Programme Implementation (**MoSPI**). - Current base year: **2012 = 100**. - **Commodity Basket Weights**:
        - *Food and Beverages*: **45.86%** (largest single category; makes Indian CPI highly sensitive to food price volatility).
        - *Miscellaneous (Services: Health, Education, Transport)*: **28.32%**.
        - *Housing*: **10.07%** (measured in Urban basket only).

    - *Fuel and Light*: **6.84%**.
    - *Clothing and Footwear*: **6.53%**.
    - *Pan, Tobacco and Intoxicants*: **2.38%**.
    - **Official Monetary Anchor**: Under the RBI Act, the Monetary Policy Committee (MPC) officially targets **CPI (Combined)** inflation as the national headline retail inflation benchmark ($4\% \pm 2\%$).

2. **Group-Specific CPI Series (Labour Bureau)**: - **CPI for Industrial Workers (CPI-IW)**: Base year 2016 = 100. Used for calculating Dearness Allowance (DA) for government employees and industrial wage revisions. - **CPI for Agricultural Labourers (CPI-AL)**: Base year 1986–87 = 100. Used for setting minimum agricultural wages and MGNREGA wage revisions. - **CPI for Rural Labourers (CPI-RL)**: Base year 1986–87 = 100. - *Institutional Provenance*: All three group-specific CPI series are compiled and published monthly by the **Labour Bureau**, an attached office under the **Ministry of Labour and Employment** (Shimla/Chandigarh).

- **Wholesale Price Index (WPI) — Wholesale / Producer Inflation**:
- Tracks price movements at the stage of wholesale transaction, prior to retail distribution.
- **Crucial Distinction**: **WPI covers physical goods ONLY; services are COMPLETELY EXCLUDED**.
- **Institutional Provenance**: Compiled and published monthly by the **Office of the Economic Adviser (OEA)**, Department for Promotion of Industry and Internal Trade (DPIIT), **Ministry of Commerce and Industry**.
- Current base year: **2011–12 = 100** (recommended by the Saumitra Chaudhuri Working Group).
- **Three Major Commodity Groups in WPI**:
    1. **Manufactured Products**: Weight = **64.23%** (includes chemicals, food products, basic metals, machinery; largest weight).
    2. **Primary Articles**: Weight = **22.62%** (includes food articles like cereals, pulses, vegetables; and non-food articles like raw cotton, minerals, crude petroleum).
    3. **Fuel and Power**: Weight = **13.15%** (includes electricity, diesel, petrol, LPG).
- **Comparison: CPI vs WPI**:

Parameter	Consumer Price Index (CPI Combined)	Wholesale Price Index (WPI)
Compiling Authority	**NSO, MoSPI**	**Office of Economic Adviser, DPIIT, Min of Commerce**
Current Base Year	**2012 = 100**	**2011–12 = 100**
Coverage	**Goods AND Services**	**Goods ONLY (Services excluded)**
Largest Basket Component	**Food & Beverages (45.86%)**	**Manufactured Products (64.23%)**
Policy Anchor	**Official anchor for RBI Inflation Targeting**	Used for business pricing & GDP deflator inputs

Parameter	Consumer Price Index (CPI Combined)	Wholesale Price Index (WPI)
Point of Pricing	Consumer retail point (includes indirect taxes)	Wholesale transaction (excludes retail taxes)
- **Headline Inflation vs Core Inflation**:		
- **Headline Inflation**: Total inflation calculated across the entire commodity basket of the price index, including volatile items. In India, Headline Inflation refers to year-on-year change in the **CPI (Combined)**.		
- **Core Inflation**: Calculated by stripping out the volatile components of **Food and Fuel/Energy** from the headline index:		
$$\text{Core Inflation} = \text{Headline CPI} - (\text{Food and Beverages} + \text{Fuel and Light})$$		
Core inflation reflects the underlying, durable demand-pull inflationary pressure and is less subject to transitory agricultural weather shocks.		
- **GDP Deflator**:		
- The ratio of Nominal GDP (measured at current market prices) to Real GDP (measured at constant base-year prices):		
$$\text{GDP Deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$$		
- **Characteristics**: The most comprehensive measure of inflation in an economy because it reflects price changes across **all domestically produced goods and services** in the economy.		
- Unlike CPI and WPI, the GDP deflator does not use a fixed commodity basket; its basket automatically changes dynamically with changing production patterns. It does not reflect prices of imported goods.		
- **Index of Industrial Production (IIP)**:		
- Measures the physical volume of industrial production over time.		
- **Crucial Distinction**: IIP is a **VOLUME INDEX**, not a price index.		

Parameter	Consumer Price Index (CPI Combined)	Wholesale Price Index (WPI)
- Compiled and published monthly by the **National Statistical Office (NSO), MoSPI**, with base year **2011–12 = 100**.		
- Sectoral breakdown: **Manufacturing (77.63%)**, **Mining (14.37%)**, and **Electricity (7.99%)**.		
- **Eight Core Industries**: Comprise **40.27%** of the total IIP weight. In descending order of weight: **Refinery Products (28.04%) > Electricity (19.85%) > Steel (17.92%) > Coal (10.33%) > Crude Oil (8.98%) > Natural Gas (6.88%) > Cement (5.37%) > Fertilizers (2.63%)**.		

4.3 Domestic Savings, Gross Capital Formation & Incremental Capital-Output Ratio (ICOR)

- **Domestic Savings Framework**:
- In national income accounting, savings represents the residual disposable income remaining after final consumption expenditures:

$$\text{Savings } (S) = \text{Income } (Y) - \text{Consumption } (C)$$

- **Three Sectors of Gross Domestic Savings (GDS)**:
  1. **Household Sector**: The **largest single contributor** to gross domestic savings in India (historically accounting for $60\% - 70\%$ of national savings). Subdivided into: - *Physical Savings*: Net additions to household real estate, land, dwellings, physical gold, and micro-business machinery. - *Financial Savings*: Bank deposits, currency holdings, life insurance funds, provident and pension funds, mutual fund units, shares, and debentures.
  2. **Private Corporate Sector**: Retained earnings and corporate depreciation reserves of non-financial and financial private corporations.
  3. **Public Sector**: Savings of government administrative departments and retained earnings of Public Sector Enterprises (often negative or marginal due to public revenue deficits).
- **Gross Capital Formation (GCF) & Economic Growth**:
- Gross Capital Formation represents the net addition to the economy's physical capital stock during an accounting year.
- Comprises:
  1. *Gross Fixed Capital Formation (GFCF)*: Investment in physical plant, machinery, buildings, transport equipment, and intellectual property.
  2. *Changes in Inventories / Stocks*: Net change in raw materials, work-in-progress, and finished goods held by producers.
  3. *Valuables*: Acquisitions of gold, precious stones, and art.

- In a closed economy: $\text{Savings} = \text{Investment}$ ($S = I$). In an open economy: Domestic Investment equals Domestic Savings plus Net Foreign Capital Inflows (reflected as Current Account Deficit / CAD).
- **Capital–Output Ratio (COR) & Incremental Capital–Output Ratio (ICOR)**:
- **Capital–Output Ratio (COR)**: The amount of total capital required to produce one unit of annual output.
- **Incremental Capital–Output Ratio (ICOR)**: Measures the marginal efficiency of capital: the additional amount of capital investment required to generate one additional unit of GDP output:

$$\text{ICOR} = \frac{\Delta K}{\Delta Y} = \frac{\text{Investment Rate (\% of GDP)}}{\text{GDP Growth Rate (\%)}}$$

- **Economic Interpretation**:
  - A **LOWER ICOR** indicates **HIGHER capital productivity and economic efficiency** (less investment capital is needed to produce extra GDP).
  - A **HIGHER ICOR** indicates **LOWER efficiency**, execution delays, infrastructure bottlenecks, and capital misallocation. For example, if an economy invests 32% of GDP and achieves an 8% growth rate, its $\text{ICOR} = 32/8 = 4.0$. If growth drops to 4%, its $\text{ICOR} = 32/4 = 8.0$ (signaling severe capital inefficiency).

4.4 Financial Markets: Money Market vs Capital Market Structure

- **Overview of Indian Financial Markets**:
- Financial markets mobilize surplus financial resources from net savers (primarily households) and allocate them to productive economic borrowers (corporates, entrepreneurs, and governments).
- Divided into two core segments based on loan maturity and regulatory jurisdiction:
- **1. The Money Market (Short-Term Credit ≤ 364 Days)**:
- Regulated and supervised by the **Reserve Bank of India (RBI)**.
- Deals in low-risk, highly liquid debt instruments with tenures up to one year.
- **Core Money Market Instruments**:
  - **Call Money, Notice Money & Term Money**:
  - *Call Money*: Inter-bank borrowing or lending of unsecured funds for **one single day (overnight)**.
  - *Notice Money*: Inter-bank funds borrowed or lent for a period between **2 days and 14 days**.
  - *Term Money*: Borrowings for periods exceeding **14 days up to one year**.
  - **Treasury Bills (T-Bills)**:
  - Short-term zero-coupon debt instruments issued by the RBI on behalf of the Government of India to finance temporary fiscal cash mismatches.
  - Issued at a discount to face value and redeemed at par; the difference represents the investor's yield.
  - Standardized maturities: **91-day, 182-day, and 364-day**.
  - *Crucial Exam Fact*: **State Governments DO NOT issue Treasury Bills** (they issue State Development Loans - SDLs in the capital market, or use WMA/OD facilities with RBI).

- **Commercial Paper (CP)**:
- Introduced in 1990 on the recommendations of the **Vaghul Working Group**.
- Unsecured short-term promissory note issued by highly rated corporate entities, primary dealers, and all-India financial institutions to raise working capital directly from the market.
- Maturity period: **7 days to 1 year**; issued in denominations of **₹5 lakh** and multiples thereof.
- **Certificates of Deposit (CD)**:
- Introduced in 1989. Negotiable, dematerialized promissory notes issued by Scheduled Commercial Banks and financial institutions against term deposits.
- Minimum maturity for commercial banks is **7 days**, with maximum tenure up to **1 year**; minimum denomination is **₹1 lakh**.
- **Cash Management Bills (CMBs)**:
- Introduced in 2010 by GoI and RBI to meet temporary cash mismatches with maturities of **less than 91 days**.

- **2. The Capital Market (Medium- & Long-Term Capital > 1 Year)**:
- Regulated and supervised by the **Securities and Exchange Board of India (SEBI)**.
- Channelling long-term savings into industrial equity and long-dated debt infrastructure.
- **Two Segments of the Capital Market**:
  - **Primary Market (New Issues Market)**:
  - The market where corporate securities (shares or bonds) are created and sold to investors for the first time.
  - *Methods of Floatation*:
    1. *Initial Public Offering (IPO)*: First public equity sale by an unlisted company to list on a stock exchange.
    2. *Follow-on Public Offering (FPO)*: Subsequent public offering by an already-listed company.
    3. *Rights Issue*: Offering new shares to existing shareholders in proportion to their existing shareholdings.
    4. *Private Placement / Qualified Institutional Placement (QIP)*: Selling securities directly to select institutional investors (banks, mutual funds, insurance companies) without a public prospectus.
  - **Secondary Market (Stock Exchange)**:
  - Platform where previously issued securities are traded among investors, providing continuous liquidity and price discovery.
  - *Major Indian Stock Exchanges*:
    - **Bombay Stock Exchange (BSE)**: Established in **1875** as the *Native Share and Stock Brokers' Association*; Asia's oldest stock exchange. Flagship benchmark index: **S&P BSE Sensex**, tracking **30 large-cap, liquid bellwether companies**.
    - **National Stock Exchange (NSE)**: Incorporated in 1992 (recommended by the **Pherwani Committee**) and operationalized in 1994; pioneered nation-wide, screen-based automated trading. Flagship benchmark index: **Nifty 50**, tracking **50 diversified companies** across economic sectors.
  - **National Depositories & Dematerialization**:

- Converts physical paper share certificates into electronic book entries (**demat format**):
  1. **National Securities Depository Limited (NSDL)**: Established in **August 1996** (promoted by IDBI, UTI, and NSE); India's first and largest depository.
  2. **Central Depository Services (India) Limited (CDSL)**: Established in **February 1999** (promoted by BSE and leading commercial banks).

4.5 Capital Market Institutions, SEBI Regulatory Framework & Specialized Bonds

- **Securities and Exchange Board of India (SEBI)**:
- Established initially on **12 April 1988** as an interim non-statutory body through an administrative resolution.
- Granted full statutory status and autonomous regulatory powers on **30 January 1992** through the promulgation of the *Securities and Exchange Board of India Act, 1992 (SEBI Act, 1992)*, following recommendations of the **Narasimham Committee (1991)**.
- **Headquarters**: Mumbai; regional offices in New Delhi, Kolkata, Chennai, and Ahmedabad.
- **Threefold Statutory Mandate**:
  1. Protecting the interests of retail and institutional investors in securities.
  2. Promoting the orderly development of the securities market.
  3. Regulating business in stock exchanges, credit rating agencies, mutual funds, and intermediary operations.
- **Securities Appellate Tribunal (SAT)**: Statutory appellate body established under the SEBI Act to hear appeals against rulings of SEBI, IRDAI, and PFRDA. Appeals against SAT orders lie directly to the **Supreme Court of India**.
- **Mutual Funds & Asset Management Companies**:
- Collective investment schemes that pool financial savings from numerous investors to purchase diversified portfolios of equities, government securities, and corporate debt.
- **Pioneer Inception**: The mutual fund industry commenced in India in **1963** with the establishment of the **Unit Trust of India (UTI)** by an Act of Parliament. Private sector entry was permitted in **1993** (Kothari Pioneer was the first private mutual fund).
- **Net Asset Value (NAV)**: The per-unit market value of a mutual fund scheme's portfolio assets minus liabilities:

$$\text{NAV} = \frac{\text{Market Value of Securities} + \text{Receivables} - \text{Accrued Liabilities}}{\text{Total Number of Outstanding Units}}$$

- **Specialized Financial Market Debt Instruments & Bonds**:
- **Masala Bonds**:
  - Rupee-denominated bonds issued by Indian corporate entities or public institutions in overseas debt capital markets (first issued by IFC in London, 2014, to fund Indian railway infrastructure).
  - **Strategic Advantage**: The **currency exchange rate risk is borne entirely by the foreign investor**. If the Rupee depreciates against the US Dollar, the Indian issuer still repays in Rupees,

shielding domestic borrowers from foreign currency insolvency.

- **Sovereign Gold Bonds (SGBs)**:
  - Government securities denominated in grams of gold, introduced in November 2015 by the Government of India and issued by the RBI.
  - Designed to substitute physical imports of gold and financialize domestic gold holdings.
  - Pays a fixed annual interest rate (coupon of **2.50% per annum** payable semi-annually) plus market capital gains linked to prevailing gold prices at redemption. Capital gains tax is fully exempt for individual investors on redemption after the 8-year tenure.
- **Zero-Coupon Bonds (Deep Discount Bonds)**:
  - Debt securities issued at a substantial discount to face value that make zero periodic coupon interest payments during their tenure. The investor earns the entire return via par redemption at maturity.
- **Green Bonds**:
  - Debt instruments whose proceeds are earmarked exclusively for financing eligible green projects (renewable solar/wind power, energy efficiency, clean mass transit, sustainable water management). Sovereign Green Bonds were first issued by the Government of India in January 2023.
- **Apex Financial Regulators Matrix in India**:

Regulatory Authority	Statutory Act & Year	Jurisdictional Domain
Reserve Bank of India (RBI)	RBI Act, 1934 (est. 1935)	Commercial banks, RRBs, urban cooperative banks, NBFCs, Money Market, Forex, G-Secs
Securities & Exchange Board of India (SEBI)	SEBI Act, 1992 (est. 1988)	Capital markets, stock exchanges, mutual funds, credit rating agencies, portfolio managers
Insurance Regulatory & Development Authority (IRDAI)	IRDA Act, 1999 (Hyderabad)	Life and general insurance companies, reinsurance entities, insurance intermediaries
Pension Fund Regulatory & Development Authority (PFRDA)	PFRDA Act, 2013 (est. 2003)	National Pension System (NPS), Atal Pension Yojana (APY), pension fund managers
Financial Stability & Development Council (FSDC)	Executive notification, Dec 2010	Apex inter-regulatory coordination council chaired by the **Union Finance Minister**

Bilingual Terminology -- Inflation, Prices & Financial Markets

English Term	Hindi Term	Key Conceptual Anchor
Inflation	मुद्रास्फीति	Sustained general rise in prices; persistent erosion in currency purchasing power

English Term	Hindi Term	Key Conceptual Anchor
Deflation	अवस्फीति / मुद्रा संकुचन	Persistent general drop in price level (negative inflation rate)
Disinflation	अपस्फीति	Deceleration in the rate of inflation (prices continue rising, but more slowly)
Stagflation	गतिहीन स्फीति	Stagnant economic growth + high unemployment + high inflation
Demand-Pull Inflation	मांग-प्रेरित मुद्रास्फीति	Price rise driven by aggregate demand outpacing productive aggregate supply
Cost-Push Inflation	लागत-प्रेरित मुद्रास्फीति	Price rise driven by surging input costs of production or supply disruptions
Headline Inflation	हेडलाइन मुद्रास्फीति	Total inflation across the entire commodity basket including food and energy
Core Inflation	कोर मुद्रास्फीति	Underlying inflation trend calculated by excluding volatile food and fuel prices
Consumer Price Index (CPI)	उपभोक्ता मूल्य सूचकांक	Retail price index tracking goods and services; official anchor for RBI inflation targeting
Wholesale Price Index (WPI)	थोक मूल्य सूचकांक	Wholesale price index covering goods only (services completely excluded); compiled by DPIIT
GDP Deflator	जीडीपी अपस्फीतिकारक	Ratio of Nominal GDP to Real GDP $\times 100$; comprehensive price measure of domestic output
Index of Industrial Production	औद्योगिक उत्पादन सूचकांक	Physical volume index of Mining, Manufacturing, and Electricity; compiled by NSO
Gross Capital Formation	सकल पूंजी निर्माण	Net addition to fixed capital assets + change in inventory stocks during an accounting year
Incremental Capital-Output Ratio	वृद्धिशील पूंजी-उत्पाद अनुपात	Capital required to produce one extra unit of output; lower ICOR indicates higher efficiency
Money Market	मुद्रा बाजार	Short-term credit market (maturities ≤ 1 year); regulated by the RBI
Capital Market	पूंजी बाजार	Long-term equity and debt market (maturities > 1 year); regulated by SEBI
Treasury Bills	ट्रेजरी बिल	Short-term sovereign discount instruments issued by RBI for GoI (91, 182, 364 days)
Commercial Paper	वाणिज्यिक पत्र	Short-term unsecured promissory note issued by corporates (7 days to 1 year)
Masala Bonds	मसाला बॉन्ड	Rupee-denominated debt bonds issued by Indian entities in overseas capital markets